

UPTOWN CHARLOTTE

Multifamily Investment Analysis

Museum Tower Apartments | 525 S Church Street, Charlotte, NC

Prepared by:

Kyle Murphy | Noah Rubin | Mitch Ashberg

Real Estate Finance | Elon University | 2025

Executive Summary

This report evaluates the investment potential of Museum Tower Apartments (525 S Church Street), a Class A, five-star high-rise multifamily asset located in the Uptown Charlotte submarket. The analysis draws on CoStar market data, comparable property transactions, demographic research, and a multi-scenario discounted cash flow model to assess risk-adjusted return potential over a five-year holding period.

Uptown Charlotte demonstrates materially stronger multifamily fundamentals than the broader Charlotte market, supported by population growth well above national averages, a dominant concentration of luxury inventory, four Fortune 500 corporate headquarters, and a thriving entertainment ecosystem. Museum Tower is the newest and highest-rent asset among its competitive set, with an asking rent of \$2,619/unit versus a weighted average of \$2,244 across comparable properties.

Under base case assumptions, the modeled unleveraged IRR is 4.78% against an 8% target return, implying the property's current asking price of \$190.0M exceeds the DCF-implied value of \$165.8M. For context, the 10-year U.S. Treasury yield is currently approximately 4.4%, meaning the base case return offers only a modest premium over a risk-free asset for an illiquid, single-property investment. The deal does not pencil at current pricing under base or worst-case assumptions. The best-case scenario—assuming stronger rent growth and stable cap rate compression—approaches the hurdle rate at a 7.69% IRR, suggesting limited upside even under optimistic conditions.

Museum Tower remains one of the most distinguished assets in the Uptown submarket: a brand-new, five-star high-rise integrated with the Mint Museum, offering an experience unmatched by any comparable property. The investment case is therefore one of quality versus price—the assets' fundamentals are genuinely strong, but the current valuation leaves little to no margin of safety at the target return.

Section 1: Submarket Analysis

Demand Economics

Uptown Charlotte's five-year population growth of 7.9% trails the broader Charlotte market (9.4%), but significantly outpaces the national index of 2.8%, indicating that the submarket is expanding at a healthy and above-average rate. Vacancy in Uptown stands at 8.0%, well below Charlotte's overall rate of 12.8%, and the 12-month net absorption rate of 25.7% outpaces the market's 16.4%. Taken together, these indicators reflect strong and sustained renter demand.

Investor sentiment reinforces this demand picture. The Uptown submarket recorded \$370 million in 12-month sales volume—the highest level in over a decade—signaling continued confidence in long-term fundamentals and robust market liquidity.

Supply Economics

The Uptown submarket currently contains approximately 8,400 units across 36 existing buildings, with 594 units under construction and 241 construction starts over the trailing 12 months. Notably, only 87 new units have been delivered since 2021, indicating a meaningful slowdown in supply additions. This constrained pipeline, combined with roughly 90% of existing inventory rated at four or five stars, supports premium pricing and limits competitive pressure on Class A assets.

Key Performance Indicators

- Occupancy: 91.89%
- Market Cap Rate: 5.35%
- 12-Month Sales Volume: \$370 million
- Average Price Per Unit: \$346,771
- Annual Rent Growth: –1.3% (near-term softness amid broader market conditions)

Submarket vs. Broader Charlotte Market

Charlotte overall has grown rapidly: the metro added over 16,000 new multifamily units in 2024 alone, a 25% increase in new supply from the prior year, with roughly 80% of recent deliveries concentrated in the 4- and 5-star category. Demand has largely kept pace—12,500 units were absorbed in 2024, an 80% increase from 2023—but the wave of new supply has still pushed the citywide vacancy rate to 12.8% and held citywide rent growth slightly negative.

Uptown Charlotte outperforms this broader market across occupancy, investor activity, and leasing velocity. Its high concentration of luxury properties, proximity to major employment centers, and walkable entertainment amenities create a durable rent premium. The near-term negative rent growth of –1.3% in Uptown is consistent with the broader national trend of rent normalization following post-pandemic peaks rather than a structural deterioration in submarket fundamentals. Limited new supply and declining vacancy assumptions support a return to positive rent growth over the projection period.

Section 2: Property Description



525 S Church Street is a five-star, 43-story premier high-rise apartment building situated in Third Ward, within Uptown Charlotte—one of the city's most luxurious and sought-after submarkets. The property has 394 units across an average unit size of 924 square feet, a gross building area of 314,400 square feet, and a typical floor plate of 7,314 square feet. Built in 2017 and constructed of steel with a glass

curtain-wall façade, the building sits atop Charlotte’s Mint Museum, North Carolina’s first art museum—a physical integration with a cultural institution that is unique among comparable properties in the submarket.

Amenities include a fitness center, resident lounge, business and conference center, on-site parking, 24-hour security, a game room, grilling stations, dry cleaning service, on-site maintenance, and a rooftop terrace with panoramic views of the Charlotte skyline. The building is walking distance from multiple professional sporting venues, restaurants, office towers, schools, and the Charlotte trolley line, with Charlotte Douglas International Airport roughly 15 minutes away by car.

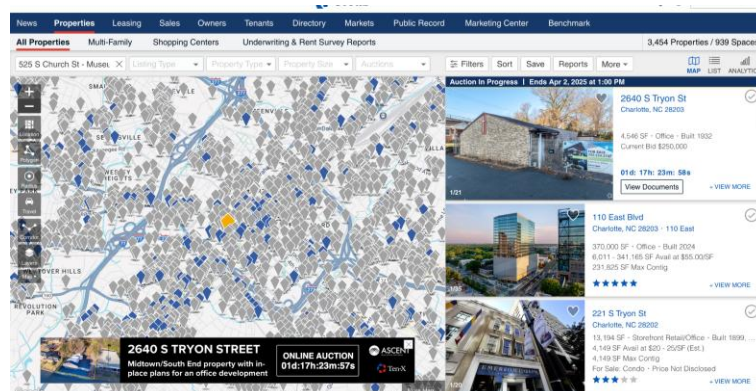
Unit Mix

Beds	Units	Avg. SF	Asking Rent/Unit	Asking Rent/SF
1	317	818	\$2,382	\$2.91
2	77	1,361	\$3,796	\$2.79
Total	394	924	\$2,619	\$2.83

Source: Excel rent roll (analysis model); total asking rent and rent/SF reflect the unit-weighted average across both unit types.

Section 3: Location Analysis

Uptown Charlotte is the region’s primary employment node and home to the headquarters of four Fortune 500 companies. The submarket offers exceptional walkability, with multiple museums (including the Levine Museum of the New South and the Museum of Illusions), performing arts venues, and stadiums or arenas for three professional sports teams—including Bank of America Stadium and the Spectrum Center—within walking distance of one another. Nearly 90% of apartment units in the submarket are high-end (four- or five-star) properties, and average rents across Uptown are approximately \$2,020/month, making it one of the most expensive multifamily submarkets in Charlotte.



Museum Tower Apartments occupies a particularly differentiated position: the building sits atop the Mint Museum, offering residents an experience not available elsewhere in the submarket. Combined with its status as one of the newest high-rises in Uptown, this distinction justifies a rent premium relative to peers and supports lower-than-average long-term vacancy risk.

Section 4: Market Overview

Charlotte’s median household income for multifamily-relevant demographics stands at \$83,793, modestly above the national index. The metro has grown 9.1% over the past five years—6.3 points

faster than the national average—while job growth (1.8%) has likewise outpaced the U.S. rate (1.4%), supported by 1.4 million total jobs and a 3.9% unemployment rate.

This growth has been accompanied by a historic construction boom: Charlotte added over 16,000 multifamily units in 2024 alone (a 25% increase in new supply year-over-year), with Q4 2024 alone delivering 5,502 units against zero demolitions. Roughly 80% of these deliveries fall into the 4- and 5-star category. Demand has largely kept pace—12,500 units were absorbed in 2024, up 80% from 2023—but the sheer scale of new supply has pushed citywide vacancy to 12.46% and held annual rent growth slightly negative (–0.2%, though improved from –2% a year earlier). The market cap rate has ticked up slightly to 5.3%, and transaction volume reached roughly \$2.8 billion in Q4 2024 alone, a 40% year-over-year increase.

A CoStar market analysis (McShane, 2024) characterizes this as a supply-led adjustment rather than a demand problem: construction has set records even amid a higher-rate environment, and net absorption is closing the gap with new deliveries. The practical implication for Museum Tower is that citywide softness in rent growth and vacancy is a market-wide phenomenon tied to the current supply wave, not a signal of weakening fundamentals specific to the Uptown submarket or this asset.

Section 5: Submarket Overview & Demographic Analysis

Given Uptown Charlotte’s compact geography of just over two square miles, this analysis focuses on a two-mile radius, which captures the most relevant renter pool for Museum Tower.

The area skews young and affluent. The median age is 33, with a strong concentration of residents in the 25–34 and 35–44 age cohorts—a demographic profile well-suited to luxury multifamily demand, and one that is predominantly white based on the underlying CoStar demographic data. Average household income within this radius is \$115,932, and median household income is \$87,287, both indicative of substantial disposable income. Over 17,000 households within two miles earn \$100,000 or more annually, and residential home values in the area range from \$500,000 to over \$1 million, further affirming the premium character of the submarket.

Population density increases sharply beyond the immediate core: 71,227 residents within two miles expands to 264,506 at five miles and 783,903 at ten miles. This density gradient reflects Uptown’s position as an employment and lifestyle anchor and suggests a meaningful feeder population of prospective renters drawn to the submarket over time. The primary factors drawing residents to the area are proximity to employers, entertainment, dining, and transit access.

Section 6: Comparable Property Analysis

Leasing Comparables

Four properties were identified as leasing comparables based on proximity, unit count, and quality tier. Museum Tower commands the highest asking rent per unit among all comparables at \$2,619—approximately \$282 above the weighted average of \$2,244 and \$300 above the next-highest comparable. This premium is attributable to the property’s superior amenity package, unique Mint Museum integration, and status as the newest asset in the competitive set. Its vacancy rate of 8.5%, while modestly elevated relative to peers, reflects the rent premium and lease-up dynamics of a newer asset rather than weakening demand—and remains well below the broader market vacancy rate of 12.46%.

Property	Asking Rent/Unit	Vacancy Rate	Units
----------	------------------	--------------	-------

525 S Church St (Subject)	\$2,619	8.5%	394
255 W Martin Luther King Jr. Blvd	\$1,968	7.9%	462
401 S Graham St	\$2,259	6.7%	195
225 S Poplar St	\$2,024	5.7%	300
400 E Brooklyn Village Ave	\$2,337	6.3%	459
Weighted Average	\$2,244	—	1,810

Sales Comparables

Four recent transactions were identified as sales comparables, restricted to deals after January 1, 2020 among larger multifamily properties in the Uptown submarket. Museum Tower's most recent transaction in October 2024 at \$153.5M reflects a price per square foot of \$488.23—materially above all comparable sales. This premium is consistent with the asset's vintage, quality, and location: although the transaction price itself was lower than two of the four comparables, the price per square foot is the highest in the set, underscoring the property's elevated per-unit value. Cap rates were undisclosed for most comparables, with the exception of 425 W Trade St (4.00%, July 2021), which predates the current rate environment and is of limited relevance to current underwriting.

Property	Date	Price	Cap Rate	Price/SF
525 S Church St (Subject)	Oct 2024	\$153.5M	—	\$488.23
355 W MLK Jr. Blvd	May 2022	\$165.0M	—	\$383.81
512 N College St	Jun 2024	\$180.6M	—	\$377.92
225 S Poplar St	Dec 2022	\$137.9M	—	\$408.98
425 W Trade St	Jul 2021	\$64.1M	4.00%	\$300.91

Potential drivers of future rent growth include increased demand from high-income renters willing to pay for amenity-rich living, reduced competitive supply as new luxury deliveries remain constrained, follow-on rent increases across the comparable set, and targeted unit renovations or amenity enhancements that support rent repositioning on a case-by-case basis.

Section 7: Investment Assumptions & Pro Forma

Key Assumptions

The base case projection uses 2025 as the anchor year, with the following rationale for each assumption category:

Rent Growth: The base case starts at 2.50% in Year 1, tapering to 2.00% by Year 6. Museum Tower's own trailing rent growth has been 2.7% over the past year, but the broader Uptown submarket is currently experiencing modest negative rent growth (–1.3%) amid a citywide supply wave. The base case assumption is intentionally conservative relative to the property's recent performance, reflecting long-term mean reversion toward stabilized growth as the asset matures and citywide supply pressure normalizes.

Vacancy: Current building vacancy is 8.5%, modestly above the submarket average of 8.0%. The base case projects a gradual decline to 6.5% by Year 6, consistent with strengthening submarket demand, population growth, and a constrained new-supply pipeline in Uptown specifically (as distinct from the broader Charlotte market, where supply pressure remains elevated).

Operating Expenses: Base case growth is 4% in Years 1–2, moderating to 3% in Years 3–6, reflecting near-term inflationary pressure in labor and insurance that is expected to stabilize over the hold period. Expenses compound year-over-year on the prior year's base, consistent with standard pro forma methodology.

Cap Rate: Museum Tower did not transact with a disclosed cap rate. The going-in rate of 5.35% is derived from the Uptown submarket's current market cap rate. The base case going-out cap rate of 5.85% reflects a 50-basis-point expansion over the holding period to account for rate environment uncertainty and asset aging, consistent with typical five-year-hold underwriting convention.

Assumption	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
Rent Growth Rate	2.50%	2.35%	2.20%	2.15%	2.05%	2.00%
Vacancy Rate	8.0%	7.5%	7.2%	6.9%	6.7%	6.5%
OpEx Growth Rate	4.0%	4.0%	3.0%	3.0%	3.0%	3.0%
Going-out Cap Rate	—	—	—	—	—	5.85%

Pro Forma Summary (Base Case, \$ in thousands)

	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
Potential Gross Income	\$12,883	\$13,186	\$13,476	\$13,765	\$14,048	\$14,329
Less: Vacancy	(\$1,031)	(\$989)	(\$970)	(\$950)	(\$941)	(\$931)
Effective Gross Income	\$11,852	\$12,197	\$12,505	\$12,816	\$13,106	\$13,397
Total Operating Expenses	(\$1,687)	(\$1,755)	(\$1,807)	(\$1,862)	(\$1,917)	(\$1,975)
Net Operating Income	\$10,165	\$10,442	\$10,698	\$10,954	\$11,189	\$11,422
Less: CAPEX	(\$383)	(\$398)	(\$410)	(\$422)	(\$435)	(\$448)
Before-Tax Unlevered CF	\$9,782	\$10,044	\$10,288	\$10,532	\$10,754	\$10,974

Scenario Analysis

Three scenarios were modeled to bracket the range of outcomes. The worst case reflects higher vacancy, lower rent growth, higher operating expense growth, and cap rate expansion to 6.35% (100 basis points above going-in). The best case assumes stronger rent growth (4.0% in Year 1, tapering to 2.5%), tighter vacancy, flat operating expense growth, and a stable going-out cap rate equal to the going-in rate of 5.35%.

Metric	Base Case	Worst Case	Best Case
Purchase Price	\$190.0M	\$187.3M	\$197.4M

Going-in Cap Rate	5.35%	5.35%	5.35%
Going-out Cap Rate	5.85%	6.35%	5.35%
Yr 1 NOI (\$000s)	\$10,165	\$10,020	\$10,559
Yr 5 NOI (\$000s)	\$11,189	\$10,896	\$12,277
IRR	4.78%	2.97%	7.69%
DCF Value	\$165.8M	\$151.3M	\$194.8M
Net Sale Proceeds	\$183.5M	\$163.5M	\$221.6M

The base and worst case IRRs (4.78% and 2.97%, respectively) fall well below the 8% target return, with DCF-implied values of \$165.8M and \$151.3M against a purchase price of approximately \$187–\$190M. The best case approaches—but does not exceed—the hurdle at 7.69%, indicating the deal could only become viable if submarket fundamentals meaningfully outperform current projections, and even then leaves no margin for error. Across all three scenarios, this gap suggests the asset is currently priced above what is justified by cash flow fundamentals at the target return.

Section 8: Recommendation

Based on the analysis above, we do not recommend pursuing this investment at the current asking price. Under realistic (base case) assumptions, the unleveraged IRR of 4.78% falls 3.22 percentage points short of the 8% target return—and offers only a modest premium of roughly 40 basis points over the current 10-year Treasury yield of approximately 4.4%. For an illiquid, single-asset real estate investment, that premium is not commensurate with the risk being taken on.

Even the best case scenario, which assumes meaningfully stronger rent growth, tighter vacancy, and no cap rate expansion over the hold period, only reaches a 7.69% IRR—still short of the target return. This indicates that the gap between asking price and fundamental value is not a function of overly conservative assumptions; even optimistic projections fail to clear the bar.

This is not a judgment on the quality of the asset itself. Museum Tower holds a genuinely differentiated position in the Uptown submarket: it is the newest, highest-rent, and most architecturally distinctive property in its competitive set, benefiting from a rent premium that reflects real, durable demand. The investment case here is best understood as a pricing problem rather than a fundamentals problem—the property is overvalued relative to what its cash flows can support at a reasonable target return, not poorly positioned within its market.

We would revisit this recommendation under either of two conditions: a purchase price closer to the \$165.8M DCF-implied value under base case assumptions, or clear evidence that Uptown submarket rent growth and vacancy trends are outperforming the base case trajectory meaningfully and sustainably. Absent one of these, we recommend passing on this opportunity at its current asking price.

Images & Sources

525 S Church St - Museum Tower Apartments ★★★★★

Apartments - Third Ward Submarket
Charlotte, NC 28202 - [Website](#)

394 Units **314,400** SF GBA **2017** Built **8.5%** Vacancy **\$2,619** Asking Rent/Unit **\$2.83** Asking Rent/SF

Summary Units Lease Comps Sale Tenant Analytics Loan Financials Changes Demographics Public Record Contacts Images Map My Data News

Sale >>

Sold Price: \$153,500,000 (\$389,594/Unit)
Date: Oct 2024
Sale Type: Investment

Building

Type: 5 Star Hi-Rise Apartments
Location: CBD
Units: 394
Avg Unit Size: 924 SF
Stories: 43
GBA: 314,400 SF
Typical Floor: 7,312 SF
of Buildings: 1
Units per Area: 985/AC
Market Segment: All
Rent Type: Market
Construction Event: Date: May 2015
Construction Start: Jun 2017
Taxes: \$2,149.36/Unit (2023)
Walk Score®: Very Walkable (87)
Transit Score®: Excellent Transit (76)
Parking Ratio: 1.02/Unit

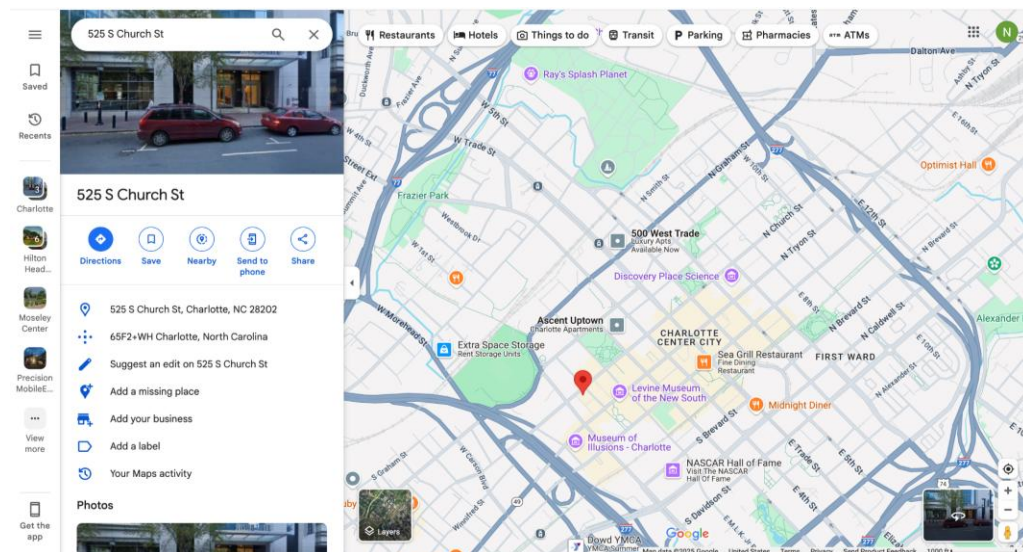
Unit Mix >>

Units	Avg SF	Asking Rent/Unit	Asking Rent/SF	Concessions
1	317	\$2,312	\$2.83	0.9%
2	77	\$3,864	\$2.85	0.9%
Totals	394	924	\$2,619	\$2.83

Updated April 18, 2025

Market Conditions >>

	Current	YOY Change
Location Rates	8.5%	↑ 1.4%
Subject Property	7.6%	↓ -0.7%
Submarket 4-5 Star	12.9%	↑ 0.6%
Market Overall		
Market Rent Per Unit		
Subject Property	\$2,619	↓ 2.7%
Submarket 4-5 Star	\$2,082	↓ -2.2%
Market Overall	\$1,644	↓ -0.3%
Concessions		
Subject Property	0.9%	↑ 0.1%
Submarket 4-5 Star	1.7%	↑ 0.3%
Market Overall	1.8%	↑ 0.1%
Under Construction Units		
Subject Property	20,845	↓ -29.7%
Market Overall		
Submarket Sales Activity		
Subject Property	Current: \$369.88M	Prev Year: \$65.8M
Market Overall	\$342.05K	\$339.11K



Charlotte - NC USA		238,508 ↕	21,604 ↕	14,056 ↕	12.8% ↕	\$1,649 ↕	\$248K ↕	5.2% ↕
Multi-Family Market ☆☆☆☆☆		Inventory Units	Under Constr Units	12 Mo Absorp Units	Vacancy Rate	Market Asking Rent/Unit	Market Sale Price/Unit	Market Cap Rate
Summary								
Vacancy	Rent	Construction	Sales	Economy	CMBS	Players	Submarkets	Data
3 Bedroom Asking Rent		\$2,126 ↕		\$2,271 ↕		12 Mo Avg Delivered Units		245 ↕
								168 ↕

SALES	MARKET	TIONAL INDEX
Market Sale Price/Unit	\$248K ↓	\$232K ↓
12 Mo Asking Sale Price/Unit	\$208K ↓	\$181K ↓
12 Mo Sale to Asking Price Diff	-10.8% ↓	-7.6% ↓
Market Cap Rate	5.2% ↓	6.0% ↓
12 Mo Sales Volume	\$2.7B ↓	\$112B ↓
12 Mo Transactions	86 ↓	15,178 ↓
Months To Sale Past Year	4.7 ↓	5.5 ↓
For Sale Listings	17 ↓	8,511 ↓
For Sale Units	511 ↓	129,993 ↓

DEMAND	MARKET	TIONAL INDEX
12 Mo Absorption Units	14,056	545,584
12 Mo Absorption % of Inv	6.1%	2.7%
Median Household Income	\$85,080	\$80,725
Population Growth 5 Yrs	9.4%	2.8%
Pop Growth 5 Yrs 20-29	6.4%	-0.4%
Pop Growth 5 Yrs 30-39	3.0%	-0.1%
Pop Growth 5 Yrs 40-54	7.5%	3.8%
Pop Growth 5 Yrs 55+	18.5%	7.2%

Charlotte - NC USA

Multi-Family Market ☆☆☆☆☆

238,508 ↑
Inventory Units21,604 ↓
Under Constr Units14,056 ↑
12 Mo Absorp Units12.8% ↑
Vacancy Rate\$1,649 ↓
Market Asking Rent/Unit\$248K ↑
Market Sale Price/Unit5.2% ↓
Market Cap Rate
[Summary](#)
[Vacancy](#)
[Rent](#)
[Construction](#)
[Sales](#)
[Economy](#)
[CMBS](#)
[Players](#)
[Submarkets](#)
[Data](#)

SALES	MARKET	'IONAL INDEX
Market Sale Price/Unit	\$248K ↑	\$232K ↑
12 Mo Asking Sale Price/Unit	\$208K ↑	\$181K ↑
12 Mo Sale to Asking Price Diff	-10.8% ↓	-7.6% ↑
Market Cap Rate	5.2% ↓	6.0% ↓
12 Mo Sales Volume	\$2.7B ↑	\$112B ↑
12 Mo Transactions	86 ↑	15,178 ↑
Months To Sale Past Year	4.7 ↓	5.5 ↑
For Sale Listings	17 ↑	8,511 ↑
For Sale Units	511 ↑	129,993 ↑

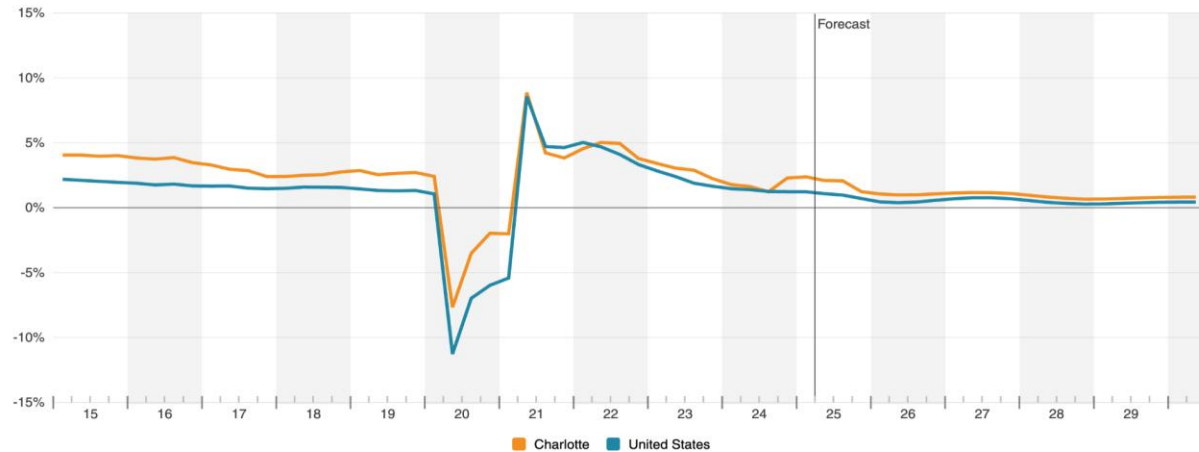
DEMAND	MARKET	'IONAL INDEX
12 Mo Absorption Units	14,056	545,584
12 Mo Absorption % of Inv	6.1%	2.7%
Median Household Income	\$85,080	\$80,725
Population Growth 5 Yrs	9.4%	2.8%
Pop Growth 5 Yrs 20-29	6.4%	-0.4%
Pop Growth 5 Yrs 30-39	3.0%	-0.1%
Pop Growth 5 Yrs 40-54	7.5%	3.8%
Pop Growth 5 Yrs 55+	18.5%	7.2%

Charlotte - NC USA

Multi-Family Market ☆☆☆☆☆

238,508 ↑
Inventory Units21,604 ↓
Under Constr Units14,056 ↑
12 Mo Absorp Units12.8% ↑
Vacancy Rate\$1,649 ↓
Market Asking Rent/Unit\$248K ↑
Market Sale Price/Unit5.2% ↓
Market Cap Rate
[Summary](#)
[Vacancy](#)
[Rent](#)
[Construction](#)
[Sales](#)
[Economy](#)
[CMBS](#)
[Players](#)
[Submarkets](#)
[Data](#)

JOB GROWTH (YOY)



Charlotte - NC USA

Multi-Family Market ☆☆☆☆☆

238,508 ↑
Inventory Units21,604 ↓
Under Constr Units14,056 ↑
12 Mo Absorp Units12.8% ↑
Vacancy Rate\$1,649 ↓
Market Asking Rent/Unit\$248K ↑
Market Sale Price/Unit5.2% ↓
Market Cap Rate
[Summary](#)
[Vacancy](#)
[Rent](#)
[Construction](#)
[Sales](#)
[Economy](#)
[CMBS](#)
[Players](#)
[Submarkets](#)
[Data](#)

demand remain stable.

AVAILABILITY	MARKET	'IONAL INDEX
Vacancy Rate	12.8% ↑	8.0% ↑
Vacant Units	30.5K ↑	1.6M ↑
Market Asking Rent/Unit	\$1,649 ↓	\$1,765 ↑
Market Effective Rent/Unit	\$1,620 ↓	\$1,747 ↑
Concession Rate	1.8% ↑	1.0% ↓
Studio Asking Rent	\$1,402 ↓	\$1,585 ↑
1 Bedroom Asking Rent	\$1,460 ↓	\$1,586 ↑
2 Bedroom Asking Rent	\$1,716 ↓	\$1,849 ↑
3 Bedroom Asking Rent	\$2,126 ↑	\$2,271 ↑

INVENTORY	MARKET	'IONAL INDEX
Inventory Units	238,508 ↑	20,469,839 ↑
Existing Buildings	1,622 ↑	427,542 ↑
Avg Units Per Bldg	147 ↑	48 ↑
12 Mo Demolished Units	24 ↑	4,391 ↑
12 Mo Occupancy % At Delivery	15.9% ↑	23.0% ↓
Under Construction Units	21,604 ↓	625,159 ↓
12 Mo Construction Starts Units	9,379 ↓	274,480 ↓
12 Mo Delivered Units	17,617 ↑	617,267 ↓
12 Mo Avg Delivered Units	245 ↑	168 ↑

Charlotte - NC USA

Multi-Family Market ☆☆☆☆☆

238,508 ↑

Inventory Units

21,604 ↓

Under Constr Units

14,056 ↑

12 Mo Absorp Units

12.8% ↑

Vacancy Rate

\$1,649 ↓

Market Asking Rent/Unit

\$248K ↑

Market Sale Price/Unit

5.2% ↓

Market Cap Rate

Summary

Vacancy

Rent

Construction

Sales

Economy

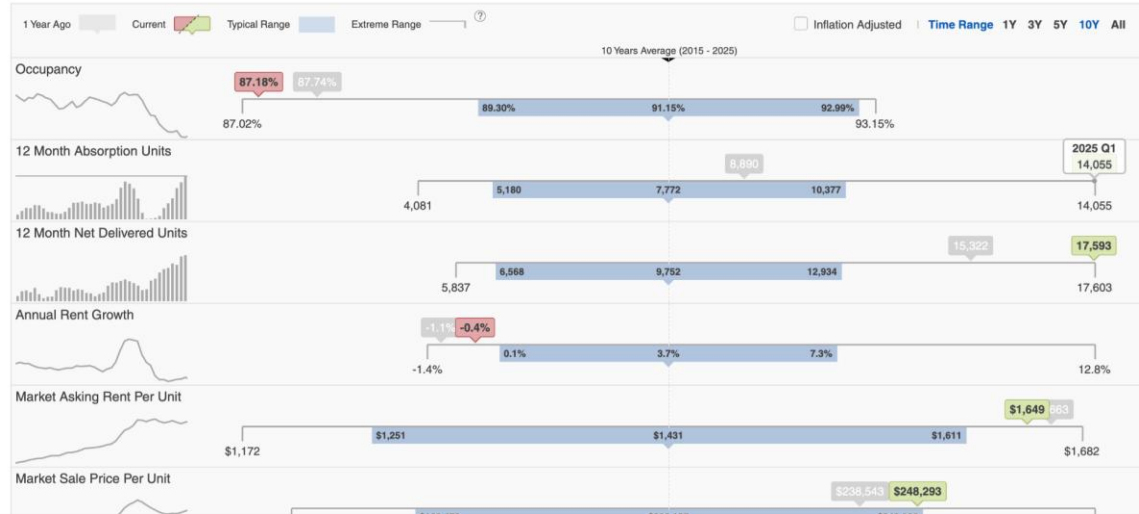
CMBS

Players

Submarkets

Data

Key Performance Indicators



Charlotte - NC USA

Multi-Family Market ☆☆☆☆☆

238,508 ↑

Inventory Units

21,604 ↓

Under Constr Units

14,056 ↑

12 Mo Absorp Units

12.8% ↑

Vacancy Rate

\$1,649 ↓

Market Asking Rent/Unit

\$248K ↑

Market Sale Price/Unit

5.2% ↓

Market Cap Rate

Summary

Vacancy

Rent

Construction

Sales

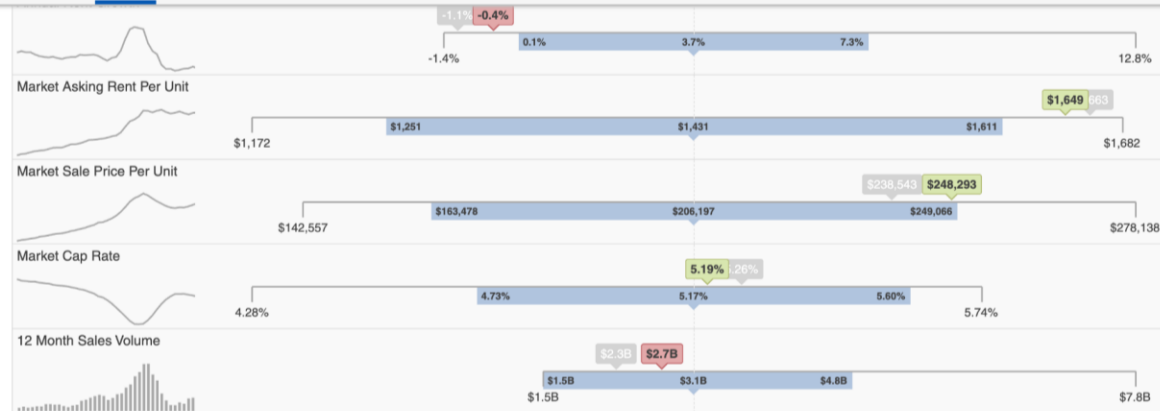
Economy

CMBS

Players

Submarkets

Data



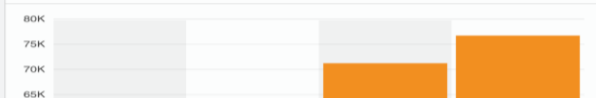
Population By Race

	2 miles
White	41,244
Black	20,270
American Indian/Alaskan Native	140
Asian	3,318
Hawaiian & Pacific Islander	28
Two or More Races	6,227
Hispanic Origin	4,252

Housing

	2 miles
Median Home Value	\$452,627
Median Year Built	2007

Population



Avg Household Vehicles

Total Specified Consumer Spending (\$)

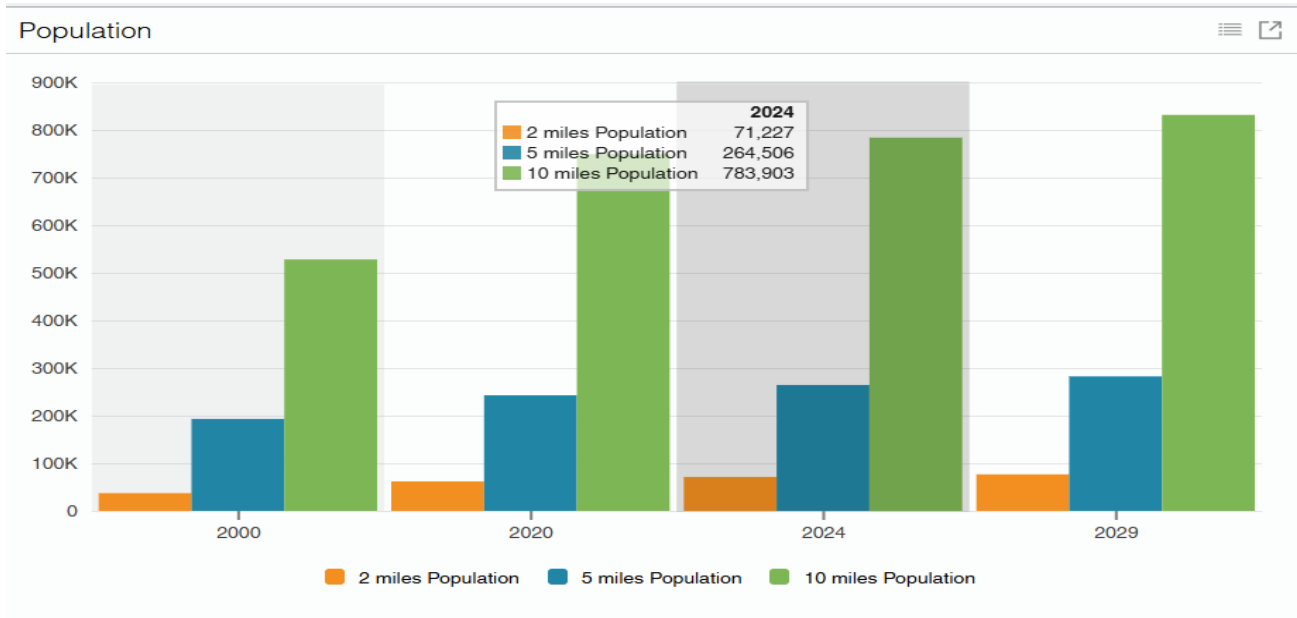
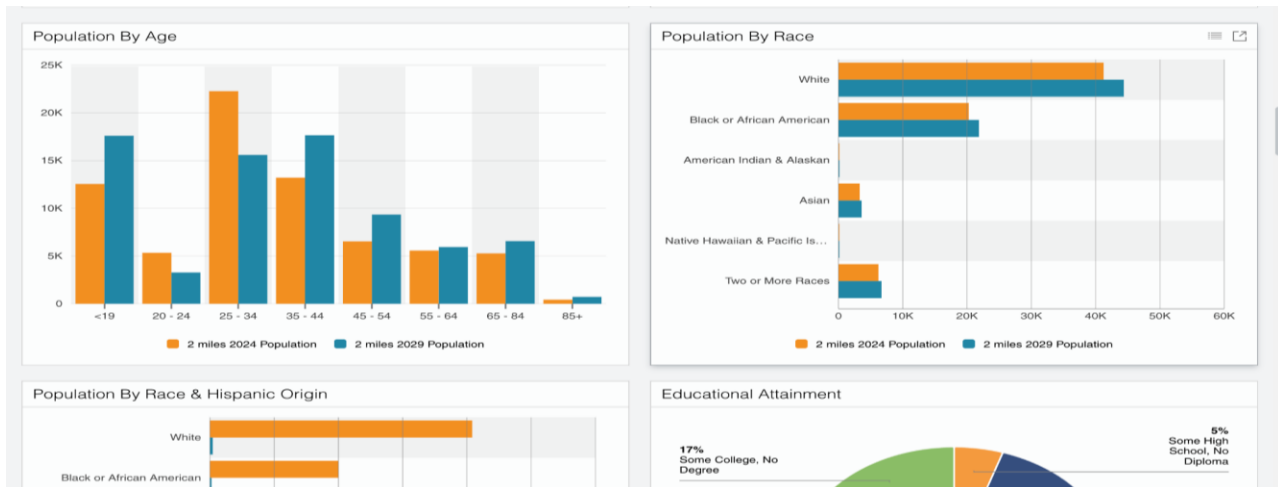
\$1.2B

Income

	2 miles
Avg Household Income	\$115,932
Median Household Income	\$87,287
< \$25,000	5,222
\$25,000 - 50,000	6,005
\$50,000 - 75,000	5,939
\$75,000 - 100,000	5,243
\$100,000 - 125,000	4,101
\$125,000 - 150,000	3,148
\$150,000 - 200,000	3,597
\$200,000+	6,231

Annual Population Growth





4 & 5 STAR EXPENSES PER SF (ANNUAL)

Market / Cluster	Operating Expenses								Capital Expenditures			Total
	Mgmt.	Admin.	Payroll	Water	Utilities	Maint.	Insurance	Taxes	Appliance	Structural	Other	
Charlotte	\$0.43	\$0.73	\$0.75	\$0.31	\$0.62	\$0.83	\$0.23	\$1.07	\$0.11	\$0.42	\$0.64	\$6.14
Cabarrus County	\$0.61	\$0.81	\$0.63	\$0.50	\$0.72	\$0.65	\$0.18	\$0.66	\$0.06	\$0.46	\$0.63	\$5.91
East Charlotte	\$0.41	\$0.90	\$0.93	\$0.41	\$0.92	\$0.72	\$0.32	\$0.82	\$0.06	\$0.40	\$0.59	\$6.48
Gaston County	\$0.39	\$0.79	\$0.64	\$0.34	\$0.62	\$0.75	\$0.24	\$0.99	\$0.10	\$0.53	\$0.68	\$6.07
Huntersville/Cornelius	\$0.37	\$0.75	\$0.55	\$0.37	\$0.60	\$0.78	\$0.26	\$0.89	\$0.10	\$0.14	\$0.51	\$5.32
LoSo - Lower South...	\$0.40	\$0.52	\$0.60	\$0.17	\$0.49	\$0.71	\$0.17	\$0.57	\$0.14	\$0.11	\$0.35	\$4.23
North Charlotte	\$0.57	\$0.72	\$0.86	\$0.41	\$0.60	\$0.85	\$0.33	\$0.89	\$0.10	\$0.14	\$0.53	\$6
South Charlotte	\$0.41	\$0.80	\$0.80	\$0.31	\$0.54	\$0.77	\$0.20	\$0.88	\$0.15	\$0.49	\$0.70	\$6.05
South End	\$0.44	\$0.53	\$0.64	\$0.13	\$0.50	\$1.04	\$0.18	\$1.83	\$0.03	\$0.53	\$0.68	\$6.53
South Park	\$0.49	\$0.57	\$0.68	\$0.21	\$0.53	\$1.07	\$0.21	\$1.30	\$0.15	\$0.49	\$0.67	\$6.37
University	\$0.34	\$0.73	\$0.68	\$0.40	\$0.66	\$0.70	\$0.26	\$1.07	\$0.16	\$0.14	\$0.52	\$5.66
Uptown Charlotte	\$0.43	\$0.52	\$0.63	\$0.12	\$0.49	\$1	\$0.18	\$1.79	\$0.01	\$0.50	\$0.66	\$6.33
West Charlotte	\$0.36	\$0.73	\$0.66	\$0.34	\$0.61	\$0.74	\$0.21	\$0.87	\$0.11	\$0.45	\$0.63	\$5.71
York County	\$0.39	\$0.79	\$0.64	\$0.34	\$0.62	\$0.75	\$0.24	\$0.99	\$0.10	\$0.53	\$0.68	\$6.07

Expenses are estimated using NCREIF, IREM, and CoStar data using the narrowest possible geographical definition from Zip Code to region.

Property Information		Operating Assumptions							
Address	525 South Church Street, Charlotte, NC, 28202	Rent roll	Number of Units	Monthly Rent per Unit					
Analyst(s) Names	Kyle Murphy, Noah Rubin, Mitch Ashberg	1-BR	317	\$2,382					
Building GBA	314433	2-BR	77	\$3,796					
				\$12,568,632					
Purchase Information									
Going-in Cap Rate	5.30%								
1st Year Projected NOI	\$10,165,024								
Estimated Purchase Price	\$180,000,445								
Sales Assumptions									
Holding Period (in years)		Rent Growth Rate	1	2	3	4	5	6	
Going-out Cap Rate	5.85%		2.0%	2.4%	2.2%	2.2%	2.1%	2.0%	
Estimated Net Proceeds from Sale	\$183,537,486	Use Year after Sale NOI	8.0%	7.5%	7.2%	6.9%	6.7%	6.5%	
Brokerage Fees	6%	Operating Expenses Growth	4.0%	4.0%	3.0%	3.0%	3.0%	3.0%	
Valuation Assumptions		Operating Expenses Assumptions							
Discount rate (target IRR)	8%	Expense per square foot Annual Expenses							
		Mgmt	\$0.43	\$135,192					
		Admin	\$0.52	\$163,488					
		Payroll	\$0.63	\$198,072					
		Water	\$0.12	\$37,728					
		Utilities	\$0.49	\$154,056					
		Maint.	\$1.00	\$314,400					
		Insurance	\$0.18	\$56,592					
		Taxes	\$1.79	\$562,776					
		CAPEX	\$1.17	\$367,848					
Pro-Forma		0	1	2	3	4	5	6	
Potential Gross Income		\$12,882,848	\$13,185,595	\$13,475,678	\$13,765,405	\$14,047,596	\$14,328,548		
Less: Vacancy		(\$1,030,628)	(\$988,920)	(\$970,249)	(\$949,813)	(\$941,189)	(\$931,356)		
Effective Gross Income (EGI):		\$11,852,220	\$12,196,675	\$12,505,429	\$12,815,592	\$13,106,407	\$13,397,192		
Mgmt		(\$140,600)	(\$146,224)	(\$150,610)	(\$155,129)	(\$159,783)	(\$164,576)		
Admin		(\$170,028)	(\$176,829)	(\$182,133)	(\$187,597)	(\$193,225)	(\$199,022)		
Payroll		(\$205,995)	(\$214,235)	(\$220,662)	(\$227,282)	(\$234,100)	(\$241,123)		
Water		(\$39,237)	(\$40,807)	(\$42,031)	(\$43,292)	(\$44,590)	(\$45,928)		
Utilities		(\$160,218)	(\$166,627)	(\$171,626)	(\$176,775)	(\$182,078)	(\$187,540)		
Maint.		(\$326,976)	(\$340,055)	(\$350,257)	(\$360,764)	(\$371,587)	(\$382,735)		
Insurance		(\$58,856)	(\$61,210)	(\$63,046)	(\$64,938)	(\$66,886)	(\$68,892)		
Taxes		(\$585,287)	(\$608,699)	(\$626,959)	(\$645,768)	(\$665,141)	(\$685,096)		
Total Operating Expenses		(\$1,687,196)	(\$1,754,684)	(\$1,807,325)	(\$1,861,544)	(\$1,917,391)	(\$1,974,912)		
Net Operating Income (NOI)		\$10,165,024	\$10,441,991	\$10,698,104	\$10,954,048	\$11,189,016	\$11,422,280		
Less: CAPEX		(\$382,562)	(\$397,864)	(\$409,800)	(\$422,094)	(\$434,757)	(\$447,800)		
Before Tax Unlevered Cash Flow:		\$9,782,462	\$10,044,127	\$10,288,304	\$10,531,953	\$10,754,259	\$10,974,480		
IRR Calculation									
Estimated Purchase Price		(\$190,000,445)							
Before Tax Unlevered Cash Flow		\$9,782,462	\$10,044,127	\$10,288,304	\$10,531,953	\$10,754,259			
Net Proceeds from Sale						\$183,537,486			
Total Cash Flow		(\$190,000,445)	\$9,782,462	\$10,044,127	\$10,288,304	\$10,531,953	\$194,291,745		
IRR		4.78%							
DCF Valuation									
Before Tax Unlevered Cash Flow		\$9,782,462	\$10,044,127	\$10,288,304	\$10,531,953	\$10,754,259			
Net Proceeds from Sale						\$183,537,486			
Total Cash Flow		\$9,782,462	\$10,044,127	\$10,288,304	\$10,531,953	\$194,291,745			
Function									
(this is the value and maximum you would pay for the property to hit the target)		\$165,809,239							

Property Information		Operating Assumptions							
Address	525 South Church Street, Charlotte, NC, 28202	Rent roll	Number of Units	Monthly Rent per Unit					
Analyst(s) Names	Kyle Murphy, Noah Rubin, Mitch Ashberg	1-BR	317	\$2,382					
Building GBA	314433	2-BR	77	\$3,796					
				\$12,568,632					
Purchase Information									
Going-in Cap Rate	5.30%								
1st Year Projected NOI	\$10,019,972								
Estimated Purchase Price	\$187,289,202								
Sales Assumptions									
Holding Period (in years)	5	Rent Growth Rate	1	2	3	4	5	6	
Going-out Cap Rate	6.35%	Vacancy	2.5%	2.3%	2.1%	1.9%	1.7%	1.5%	
Estimated Net Proceeds from Sale	\$163,499,116	Use Year after Sale NOI	5.0%	5.5%	6.0%	7.5%	7.3%	7.0%	
Brokerage Fees	6%	Operating Expenses Growth	5.0%	5.0%	4.0%	4.0%	4.0%	4.0%	
Valuation Assumptions		Operating Expenses Assumptions							
Discount rate (target IRR)	8%	Expense per square foot Annual Expenses							
		Mgmt	\$0.43	\$135,192					
		Admin	\$0.52	\$163,488					
		Payroll	\$0.63	\$198,072					
		Water	\$0.12	\$37,728					
		Utilities	\$0.49	\$154,056					
		Maint.	\$1.00	\$314,400					
		Insurance	\$0.18	\$56,592					
		Taxes	\$1.79	\$562,776					
		CAPEX	\$1.17	\$367,848					
Pro-Forma		0	1	2	3	4	5	6	
Potential Gross Income		\$12,882,848	\$13,172,712	\$13,442,752	\$13,691,443	\$13,917,352	\$14,126,112		
Less: Vacancy		(\$1,159,456)	(\$1,119,681)	(\$1,075,420)	(\$1,026,858)	(\$1,009,008)	(\$988,828)		
Effective Gross Income (EGI):		\$11,723,391	\$12,053,031	\$12,367,332	\$12,664,585	\$12,908,344	\$13,137,285		
Mgmt		(\$141,952)	(\$149,049)	(\$155,011)	(\$161,212)	(\$167,660)	(\$174,366)		
Admin		(\$171,662)	(\$180,246)	(\$187,455)	(\$194,954)	(\$202,752)	(\$210,862)		
Payroll		(\$207,976)	(\$218,374)	(\$227,109)	(\$236,194)	(\$245,641)	(\$255,467)		
Water		(\$39,614)	(\$41,595)	(\$43,259)	(\$44,989)	(\$46,789)	(\$48,660)		
Utilities		(\$161,759)	(\$169,847)	(\$176,641)	(\$183,706)	(\$191,054)	(\$198,697)		
Maint.		(\$330,120)	(\$346,626)	(\$360,491)	(\$374,911)	(\$389,907)	(\$405,503)		
Insurance		(\$59,422)	(\$62,393)	(\$64,888)	(\$67,484)	(\$70,183)	(\$72,991)		
Taxes		(\$590,915)	(\$620,461)	(\$645,279)	(\$671,090)	(\$697,934)	(\$725,851)		
Total Operating Expenses		(\$1,703,419)	(\$1,788,590)	(\$1,860,134)	(\$1,934,539)	(\$2,011,921)	(\$2,092,398)		
Net Operating Income (NOI)		\$10,019,972	\$10,264,441	\$10,507,199	\$10,730,046	\$10,896,423	\$11,044,887		
Less: CAPEX		(\$386,240)	(\$405,552)	(\$421,775)	(\$438,645)	(\$456,191)	(\$474,439)		
Before Tax Unlevered Cash Flow:		\$9,633,732	\$9,858,889	\$10,085,424	\$10,291,401	\$10,440,232	\$10,570,448		
IRR Calculation									
Estimated Purchase Price		(\$187,289,202)							
Before Tax Unlevered Cash Flow		\$9,633,732	\$9,858,889	\$10,085,424	\$10,291,401	\$10,440,232			
Net Proceeds from Sale						\$163,499,116			
Total Cash Flow		(\$187,289,202)	\$9,633,732	\$9,858,889	\$10,085,424	\$10,291,401	\$173,939,348		
IRR		2.97%							
DCF Valuation									
Before Tax Unlevered Cash Flow		\$9,633,732	\$9,858,889	\$10,085,424	\$10,291,401	\$10,440,232			
Net Proceeds from Sale						\$163,499,116			
Total Cash Flow		\$9,633,732	\$9,858,889	\$10,085,424	\$10,291,401	\$173,939,348			
Function									
(this is the value and maximum you would pay for the property to hit the target)		\$151,323,349							

Property Information			Operating Assumptions					
Address	525 South Church Street	Charlotte, NC, 28202	Rent roll	Number of Units	Monthly Rent per Unit			
Analyst(s) Names	Kyle Murphy, Noah Rubin, Mitch Ashberg		1-BR	317	\$3,382			
Building GBA	21445		2-BR	77	\$3,796			
Purchase Information					\$12,568,632			
Going-in Cap Rate	5.30%							
1st Year Projected NOI	\$10,558,876							
Estimated Purchase Price	\$197,362,171							
Sales Assumptions				1	2	3	4	5
Holding Period (in years)	5		Rent Growth Rate	4.0%	3.7%	3.4%	3.1%	2.8%
Going-out Cap Rate	5.35%		Vacancy	6.5%	5.9%	5.4%	5.1%	5.0%
Estimated Net Proceeds from Sale	\$221,631,373		Operating Expenses Growth	2.5%	2.5%	2.5%	2.5%	2.5%
Brokerage Fees	6%							
Valuation Assumptions			Operating Expenses Assumptions					
Discount rate (target IRR)	8%		Expense per square foot/Annual Expenses					
			Mgmt	\$0.49	\$135,192			
			Admin	\$0.52	\$163,488			
			Payroll	\$0.63	\$198,072			
			Water	\$0.12	\$37,728			
			Utilities	\$0.49	\$154,056			
			Maint.	\$1.00	\$314,400			
			Insurance	\$0.18	\$56,592			
			Taxes	\$1.79	\$562,776			
			CAPEX	\$1.17	\$367,848			
Pro-Forma								
	0	1	2	3	4	5	6	
Potential Gross Income		\$13,071,377	\$13,555,018	\$14,015,889	\$14,450,381	\$14,854,992	\$15,226,367	
Less: Vacancy		(\$849,640)	(\$799,746)	(\$756,858)	(\$736,969)	(\$742,750)	(\$730,866)	
Effective Gross Income (EGI):		\$12,221,738	\$12,755,272	\$13,259,031	\$13,713,412	\$14,112,242	\$14,495,501	
Mgmt		(\$138,572)	(\$142,036)	(\$145,587)	(\$149,277)	(\$152,957)	(\$156,781)	
Admin		(\$167,575)	(\$171,765)	(\$176,059)	(\$180,460)	(\$184,972)	(\$189,596)	
Payroll		(\$203,024)	(\$208,099)	(\$213,302)	(\$218,634)	(\$224,100)	(\$229,703)	
Water		(\$38,671)	(\$39,638)	(\$40,629)	(\$41,645)	(\$42,686)	(\$43,753)	
Utilities		(\$157,907)	(\$161,855)	(\$165,901)	(\$170,049)	(\$174,300)	(\$178,658)	
Maint.		(\$322,260)	(\$330,317)	(\$338,574)	(\$347,039)	(\$355,715)	(\$364,608)	
Insurance		(\$58,007)	(\$59,457)	(\$60,943)	(\$62,467)	(\$64,029)	(\$65,629)	
Taxes		(\$576,845)	(\$591,267)	(\$606,048)	(\$621,199)	(\$636,729)	(\$652,648)	
Total Operating Expenses		(\$1,662,862)	(\$1,704,433)	(\$1,747,044)	(\$1,790,720)	(\$1,835,488)	(\$1,881,375)	
Net Operating Income (NOI)		\$10,558,876	\$11,050,839	\$11,511,987	\$11,922,692	\$12,276,754	\$12,614,126	
Less: CAPEX		(\$377,044)	(\$386,470)	(\$396,132)	(\$406,035)	(\$416,186)	(\$426,591)	
Before Tax Unlevered Cash Flow:		\$10,181,832	\$10,664,369	\$11,115,855	\$11,516,657	\$11,860,568	\$12,187,535	
IRR Calculation								
Estimated Purchase Price		(\$197,362,171)						
Before Tax Unlevered Cash Flow		\$10,181,832	\$10,664,369	\$11,115,855	\$11,516,657	\$11,860,568		
Net Proceeds from Sale						\$221,631,373		
Total Cash Flow		(\$197,362,171)	\$10,181,832	\$10,664,369	\$11,115,855	\$11,516,657	\$233,491,941	
IRR		7.69%						
DCF Valuation								
Before Tax Unlevered Cash Flow		\$10,181,832	\$10,664,369	\$11,115,855	\$11,516,657	\$11,860,568		
Net Proceeds from Sale						\$221,631,373		
Total Cash Flow		\$10,181,832	\$10,664,369	\$11,115,855	\$11,516,657	\$233,491,941		
function) (this is the value and maximum you would pay for the property to hit the target		\$194,770,502						

CoStar. (2025, April 21). 525 S Church Street — Museum Tower Apartments: Demographics.

<https://product.costar.com/detail/lookup/9560575/demographics>

CoStar. (2025, April 10). 525 S Church Street — Museum Tower Apartments: Summary.

<https://product.costar.com/detail/all-properties/9560575/summary>

CoStar. (2025, April 21). 525 S Church Street — Museum Tower Apartments: Units.

<https://product.costar.com/detail/lookup/9560575/unitmix>

CoStar. (2025, April 10). Charlotte Multifamily Market Report.

<https://product.costar.com/Market/#/search/detail/market/USA/type/2/property/11/geography/16740/slice/all>

CoStar. (2025, April 10). Uptown Charlotte Multifamily Submarket Report.

<https://product.costar.com/Market/#/search/detail/submarket/USA/type/1/property/11/geography/7784/slice/all>

McShane, C. (2024, March 10). Apartment construction in Charlotte sets another record, but demand is catching up. CoStar. <https://product.costar.com/home/news/1363186804>

The Mint Museum. (2025, April 22). About. <https://www.mintmuseum.org/>

Board of Governors of the Federal Reserve System (US). Market Yield on U.S. Treasury Securities at 10-Year Constant Maturity [DGS10]. FRED, Federal Reserve Bank of St. Louis.

<https://fred.stlouisfed.org/series/DGS10>